



BEFORE THE FEDERAL ENERGY REGULATORY COMMISSION

DOCKET NO. RM26-4-000

COMMENTS OF POWER FOR TOMORROW

November 21, 2025

I. EXECUTIVE SUMMARY

Power for Tomorrow ("PFT") submits these comments in response to the Federal Energy Regulatory Commission's ("FERC" or "Commission") Advance Notice of Proposed Rulemaking ("ANOPR") established in Docket No. RM26-4-000 following the Department of Energy's ("DOE") October 23, 2025, directive under Section 403 of the DOE Organization Act.¹

The Commission and DOE correctly identify large load interconnection as a critical national issue affecting grid reliability, resource adequacy, and cost allocation. The explosive growth in data center demand, coupled with the emergence of novel co-location arrangements that bypass traditional interconnection processes, presents legitimate challenges to grid planning and operations, and is one of the reasons for growing electricity costs for customers.

PFT's mission is to ensure consumers have access to affordable, reliable, and adequate energy through sensible utility regulation. The issue of large load interconnection goes directly to these core principles. As background, PFT was launched in response to Winter Storm Uri in 2021, which left millions of people in Texas without power for days causing hundreds of deaths and billions of dollars in economic losses. This man-made catastrophe—which occurred in the most "competitive" energy market in the country— was a clear example of a market failure and provides a powerful contrast to the well-regulated public utility model that has been delivering reliable, affordable power to customers for more than 100 years.

¹ Letter from Secretary Chris Wright, U.S. Department of Energy, to Federal Energy Regulatory Commission (Oct. 23, 2025); Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 28, 2025).



Now, a familiar tension between regulatory models is at the heart of the current large load interconnection debate. In an attempt to remedy the large load interconnection problem through federal means, the Secretary of Energy has leveraged authority conferred by DOE's Organizational Act Section 403² to direct FERC to respond to a proposed rulemaking on large load interconnection at the transmission level. Facilitating expeditious interconnection of these new customers is an important goal, but the proposal raises key questions about FERC's jurisdiction and, ultimately, could exacerbate the challenges of new large loads: speedy interconnection without expanding supply will strain reliability further and increase costs for all. FERC should be wary of proposals that could make conditions worse rather than better.

While PFT does not dispute the very real challenges of large load interconnection in some parts of the country, these challenges are not uniform. In these comments, PFT offers another point of focus: the effectiveness of vertically integrated utilities regulated by state utility commissions in addressing the challenges posed by the demands of new large loads. These utilities and their state regulators have demonstrated effective and timely management of large load additions through established regulatory tools including certificate of need proceedings, integrated resource planning, and sophisticated rate design and cost allocation. FERC should not take any steps that could undermine these successes.

As the Commission continues with this rulemaking proceeding, PFT respectfully urges the Commission to: (1) recognize the vital state regulatory role in effectively managing and serving large loads, overseeing intrastate transmission, and determining cost allocation; and (2) cautiously examine its jurisdictional authority so as to remain within the bounds of the law and preserve states' jurisdiction to continue to develop and deploy successful approaches to the large load challenge. Should the Commission move forward with a rulemaking consistent with DOE's proposal, it should ensure that any steps taken to facilitate large load interconnections are paired with efforts to protect reliability and minimize costs for customers.

II. LARGE LOAD INTERCONNECTION: A CRITICAL BUT REGIONALLY VARIED CHALLENGE

A. The Significance of Large Load Growth

² See <https://www.ferc.gov/media/department-energy-organization-act>



PFT acknowledges the unprecedented scale and pace of large load interconnection requests facing the electric industry. Hyperscale data centers driven by artificial intelligence computing, cryptocurrency operations, and advanced manufacturing facilities are requesting interconnection at loads measured in hundreds of megawatts or even gigawatts—orders of magnitude larger than historical industrial load additions.³

This growth trajectory creates legitimate concerns across multiple dimensions. Grid reliability faces new stresses from geographically concentrated load additions that can exceed available transmission capacity and generation resources, particularly given ongoing thermal generation retirements. The pace and magnitude of load growth strains planning processes that exist to ensure adequate generation capacity.

The emergence of co-location arrangements—large loads connecting directly to generation facilities—adds complexity to these challenges. Such arrangements potentially avoid transmission upgrade costs and network service charges while creating reliability concerns: largest customers that can satisfy their demand close to the point of generation, effectively reducing the pool of generation available to all other customers participating in markets.⁴ At DOE’s behest, the Commission rightly seeks to understand whether its jurisdictional authority, as well as its oversight of existing market tariff frameworks, adequately address these novel arrangements within the broader large load conversation.

B. Understand the Root of Regional Variation in Interconnection Processes

While large load interconnection presents challenges nationwide, the nature and severity of these challenges vary dramatically based on regional market structure and the effectiveness of state regulatory oversight. Recently, the policy debate has generalized problems as systemic failures across all regulatory models while failing to shine a light on which regulatory models are succeeding at interconnecting new large loads while also protecting existing customers.

In some organized wholesale markets or areas within wholesale markets—Regional Transmission Organizations (“RTO”) and Independent System Operators (“ISO”)—governed by FERC-approved tariffs, large load interconnection has indeed experienced process problems. In

³ See DOE proposed ANOPR at 3-4.

⁴ See FERC Order Rejecting Amended Interconnection Service Agreement, Susquehanna Nuclear, LLC, et al., Docket No. ER24-2172-000 (Nov. 1, 2024)



other RTOs/ISOs, such as MISO South, those problems are not occurring due in large part to the processes established by retail regulations in those states. The challenges facing some organized wholesale markets must be understood in the context of FERC’s Open Access Transmission Tariff (“OATT”) framework, which applies to all public utilities providing transmission service in interstate commerce. FERC Orders 888 and 889 established open access principles,⁵ while Orders 2003 and 2023 created standardized generator interconnection procedures⁶—but these frameworks were designed for generation resources, not loads.

Such a generator-focused framework has collided with unprecedented demand growth, creating severe interconnection queue backlogs exceeding 200 GW and resulting in multi-year processing delays in some regions. ISOs and RTOs have implemented cluster-based reforms and initiated “first-ready, first-served” approaches to address generation backlogs, but in some regions large load interconnection has received comparatively little attention. As a model for large load interconnection, however, this process leaves much to be desired.

Some market operators are attempting to address large load interconnection at the transmission level in a more systematic way—notably Southwest Power Pool’s development of High Impact Large Load (“HILL”) Integration solutions, including Conditional High Impact Large Load (“CHILL”) service and the High Impact Large Load Generation Assessment (“HILLGA”) framework to study generation and load interconnections together.⁷ However, these efforts remain nascent and have not yet been broadly adopted across organized markets and do not address concerns about how to provide the supply necessary to serve these customers.

The emergence of co-location arrangements further exposes gaps in the approaches taken by some ISOs and RTOs, as tariff provisions designed around generator interconnection fail to adequately address loads that can effectively island from the transmission system while potentially relying on it for backup service. While the OATT framework applies broadly, these structural challenges—tariff provisions structured for generation rather than load—have proven particularly acute in some organized markets where ISO/RTO processes struggle to accommodate the kind of load becoming common from data center development.

⁵ FERC Order No. 888, Promoting Wholesale Competition Through Open Access Non-discriminatory Transmission Services by Public Utilities (1996); FERC Order No. 889, Open Access Same-Time Information System and Standards of Conduct (1996).

⁶ FERC Order No. 2003, Standardization of Generator Interconnection Agreements and Procedures (2003); FERC Order No. 2023, Improvements to Generator Interconnection Procedures and Agreements (2022).

⁷ See <https://spp.org/markets-operations/high-impact-large-load-hill-integration/>



However, in regions served by vertically integrated utilities operating under traditional state regulatory oversight, the picture looks markedly different. State public utility commissions have decades of experience regulating utility service obligations, cost allocation, and resource planning. These commissions employ well-established regulatory tools that address large load interconnection more holistically—looking at interconnection and the supply needed to serve new demand—within existing frameworks: certificate of need proceedings evaluate whether serving new large loads is in the public interest; integrated resource planning processes incorporate large load forecasts and ensure adequate generation and transmission resources; rate design proceedings allocate costs fairly between new large loads and existing customers; and special contracts for exceptionally large customers receive commission review and approval.

C. Jurisdictional Considerations for Reshaping Large Load Interconnection

While the interconnection of large loads is important, FERC’s ability to address this issue holistically is limited by its jurisdiction over wholesale sales and interstate transmission, which is grounded in the framework of the Federal Power Act and the Constitution.⁸ The Commission cannot unilaterally expand this jurisdiction, even to solve an important challenge like facilitating the interconnection of new large loads. FERC should cautiously examine DOE’s request to assert jurisdiction and, should it pursue a final rule in this proceeding, take care not to step into states’ jurisdiction with respect to franchised service territories, terms and conditions of retail service, utility cost recovery and rate setting, and generator siting and permitting. Most importantly, the Commission should not take action that would derail the successful efforts of state regulators and vertically integrated utilities to address large load interconnections in ways that support the overall reliability and affordability of the electric grid for all customers, not just new large loads.

Certainly, FERC has some jurisdiction over the interconnection of large loads at the transmission level. Many transmission owners and operators already have interconnection procedures included in their FERC-approved tariffs and a request to ISOs/RTOS and others with approved Open Access Transmission Tariffs to revise these tariffs to provide a more standardized approach to interconnection requests would be within the Commission’s jurisdiction.

However, even though DOE’s proposal purports to limit its proposed interconnection policies to loads over 20 megawatts (“MW”) that interconnect at facilities that satisfy the seven-factor

⁸ 16 U.S.C. § 824(b); U.S. Const. amend. XI.



test,⁹ the agency’s approach has the potential to significantly expand FERC’s jurisdiction to the extent that it reimagines interconnection as providing access not only to the transmission system but to bundled service that includes energy. As DOE notes, any large load that requests to interconnect to the transmission system is seeking not only transmission services but also “the appurtenant benefits of such,” which DOE explicitly defines as including capacity and energy.¹⁰ DOE also equates access to the transmission system for generators—without which they cannot provide energy to the markets or wholesale customers—with access to the transmission system for new load, claiming both have equal implications for the justness and reasonableness of wholesale rates.¹¹

DOE recognizes that states have authority over retail rates and generation siting or expansion, but its claims that loads are equivalent to generators when it comes to transmission interconnection (and that transmission service necessarily encompasses energy and capacity services) clearly implicates states’ roles and jurisdiction. It is critical to recognize that generators and loads are fundamentally different and seek to interconnect for vastly different reasons. Generators seek access to wholesale markets, within FERC’s jurisdiction, but large loads seek to interconnect to obtain bundled *retail* services, within states’ jurisdiction. DOE’s assertion that transmission service encompasses “the appurtenant benefits of such” threatens state jurisdiction to the extent that new large loads could, for example, argue that failure to provide them energy and capacity is a violation of the terms of their interconnection or entitles them to direct access to wholesale markets.

As discussed in more detail below, states are moving to solve the holistic challenges of large load interconnection, which go beyond mere interconnection to include the actual provision of energy and capacity. Any steps that FERC may take in the future should avoid encroaching on states’ efforts, and the Commission should be careful not to assert jurisdiction in such a way that expands the conception of interconnection to require the provision of retail services (or de facto restructuring) that are explicitly within the purview of states.

III. MAKING IT WORK: VERTICALLY INTEGRATED UTILITIES AND STATE REGULATORS

⁹ See ANOPR at 10.

¹⁰ See *id.*, including n. 36.

¹¹ See *id.*, at 8-10.



A. Successful State Regulatory Models

State commissions overseeing vertically integrated utilities have demonstrated effective management of large load interconnection requests through established regulatory processes. These successes are often overlooked as “business-as-usual” operations, despite these players facing the same unprecedented growth in data center demand.

In Georgia, for example, the Public Service Commission (“Georgia PSC”) has managed numerous large industrial and data center interconnections through comprehensive regulatory oversight. In January 2025, the Georgia PSC unanimously approved new rules requiring data centers using more than 100 MW to be billed based on project risks and to pay transmission and distribution costs as construction progresses.¹² Georgia PSC Chairman Jason Shaw stated: “By approving this new rule, the PSC is helping ensure that existing Georgia Power customers will be spared additional costs associated with adding these large-load customers to the grid.”¹³ Now, all contracts exceeding 100 MW must be submitted to the PSC for review, ensuring comprehensive state oversight.

Georgia Power is not the only example of success. Throughout the Southeast, vertically integrated utilities have successfully interconnected large loads without the queue backlogs and cost-shifting controversies that exist in some markets. This success stems from regulatory frameworks that give state commissions clear authority to evaluate proposed service in the public interest, utilities that maintain generation and transmission planning capabilities, and integrated resource planning processes that can accommodate large load forecasts.

B. State Regulatory Tools Function as Designed

State public utility commissions possess sophisticated regulatory tools specifically designed to manage the challenges presented by large load interconnection. These tools have evolved over decades to balance utility service obligations, ratepayer protection, and economic development objectives.

¹² Georgia Public Service Commission, Media Advisory: PSC Approves Rule to Allow New Power Usage Terms for Data Centers (Jan. 23, 2025), available at <https://psc.ga.gov>.

¹³ *Id.*



Certificate of need proceedings provide comprehensive review of proposed large load interconnections. Commissions evaluate whether the utility can reliably serve the proposed load, how costs will be allocated between new and existing customers, what transmission or generation additions are required, and whether serving the new load is consistent with the public interest.

Integrated resource planning processes incorporate large load forecasts and ensure adequate resources are planned and procured. Unlike energy and capacity-only markets that rely on price signals for resource adequacy, utility planning processes under state commission oversight provide certainty that generation and transmission will be available to serve forecasted load including major new large customers.

On the customer protection end, rate design and cost allocation allow utilities to structure service to large loads in ways that protect existing customers while facilitating interconnection. Special contract provisions can require large customers to fund necessary upgrades, accept interruptible or curtailable service, or pay rates that reflect their system impact.

C. State Processes Achieve Federal Objectives Without Federal Intervention

The outcomes achieved through state regulatory oversight of large load interconnection in vertically integrated markets demonstrate that federal intervention is not necessary in places where state processes function effectively. Timely interconnection occurs without the multi-year delays afflicting some organized market queues. Existing ratepayers receive protection through commission review of cost allocation and rate design. Grid reliability is maintained through comprehensive resource planning and system impact analysis.

Importantly, these successful outcomes occur even where vertically integrated utilities participate in organized wholesale markets for energy and ancillary services. Utilities like Southern Company and Entergy operate in or adjacent to organized markets yet demonstrate effective large load interconnection under state regulatory oversight. This suggests that the critical variable is regulatory structure and state commission effectiveness rather than market participation per se.

And, at a minimum, FERC should take steps to require that transmission-interconnected large loads participate in efforts to ensure the reliability of the grid and support good transmission and generation planning by providing accurate and timely information about their plans and



operations—and are penalized for failure to disclose relevant information or for seeking multiple, duplicative interconnections that distort load forecasting and planning.

IV. FEDERAL INTERVENTION RISKS DISRUPTING SUCCESSFUL STATE MODELS

A. Preemption Would Undermine Effective State Regulation

While it may be reasonable to attempt to standardize transmission-level interconnection procedures, FERC should avoid taking action or asserting jurisdiction in such a way that would serve as an effective preemption of large load interconnection through DOE Section 403 authority or sweeping changes to FERC-jurisdictional interconnection procedures could disrupt effective state regulation without corresponding benefits in jurisdictions where state processes work well.

State public utility commissions possess deep institutional knowledge about the utilities they regulate. This expertise includes understanding of local transmission constraints, generation portfolios, load characteristics, and economic development priorities that federal agencies cannot replicate.

The state regulatory compact balances multiple policy objectives beyond the narrow question of interconnection procedures. State commissions consider state and local policy goals, economic development, consumer protection, and service reliability when evaluating proposed large load service. Federal intervention focused solely on expediting interconnection could obscure these broader considerations.

B. Unintended Consequences of Federal Intervention

Federal intervention carries risks worth considering. Projects currently moving forward smoothly under state processes could be delayed pending development of federal rules—such an outcome would run counter to DOE’s stated objectives. Similarly, utilities and large customers with negotiated agreements approved by state commissions might find those agreements challenged by federal requirements issued after the agreements were executed.



PFT asks FERC to be mindful that federal procedures designed for organized wholesale markets may not translate to vertically integrated utilities. ISO/RTO interconnection processes assume independence between generation and load, distinct transmission providers, and market-based resource adequacy mechanisms. As a result, imposing ISO/RTO-style procedures on vertically integrated utilities could create bureaucratic complexity without corresponding benefits.

V. RECOMMENDED APPROACH: TARGETED FEDERAL INTERVENTION

A. Limit Federal Jurisdiction to Regions with Demonstrated Regulatory Failures

DOE and FERC should consider targeted intervention in areas where existing regulatory frameworks have struggled to manage large load interconnection effectively. This approach would respect successful state models while addressing acute problems in some organized wholesale markets.

Federal oversight may best apply within some areas of ISO/RTO footprints, specifically those where tariff-based interconnection processes have proven insufficient and where state authority over large load service is limited or unclear. In these regions, FERC possesses clear jurisdiction over wholesale market rules and can require modifications to tariff provisions governing large load interconnection. As discussed, this is within FERC's jurisdiction as long as the Commission does not take action beyond creating processes for interconnection that implicate the provision of retail electric service.

For regions served by vertically integrated utilities under effective state regulatory oversight, federal intervention could be avoided. DOE and FERC could consider, for example, establishing safe harbor provisions whereby states demonstrating effective management of large load interconnection remain free from federal procedural mandates or that encourage states to continue to holistically solve the interrelated challenges of interconnection of large loads and critical new generation.

B. Federal-State Partnership

Given the effectiveness of vertically integrated utilities and their regulators, DOE and FERC could consider working with states rather than around them. A partnership model would leverage the institutional knowledge and regulatory capacity of state commissions while providing federal



coordination and support where needed. Federal agencies could facilitate sharing of best practices from successful state regulatory approaches.

The large load interconnection challenges in organized wholesale markets stem from deeper problems in market design that interconnection jurisdiction alone cannot solve. The Commission's November 1, 2024, rejection of the amended Susquehanna interconnection service agreement illustrated the complexity of co-location arrangements and cost allocation in organized markets.¹⁴ Commissioners Mark Christie and Lindsay See noted that co-location arrangements “present an array of complicated, nuanced and multifaceted issues, which collectively could have huge ramifications for both grid reliability and consumer costs.”¹⁵ Concerns included potential cost shifts exceeding \$140 million annually to other transmission customers.¹⁶

Sustainable solutions require comprehensive market design reforms, not just large load interconnection remedies. PFT urges FERC to support the existing functions of state utility regulators while focusing on reforming capacity markets, strengthening transmission planning requirements, and taking a hard look at whether co-located loads are avoiding their share of grid costs and upgrades.

VI. CONCLUSION

Large load interconnection presents significant challenges that demand thoughtful policy responses. PFT respectfully requests that the Commission exercise care and precision in addressing large load interconnection challenges. Federal intervention should be narrowly tailored to locations where regulatory frameworks are struggling, rather than imposing uniform requirements that disrupt successful state models or implicate state jurisdiction. Further, PFT urges the Commission to recognize the effectiveness of state regulatory oversight in managing

¹⁴ See FERC Order Rejecting Amended Interconnection Service Agreement, Susquehanna Nuclear, LLC, et al., Docket No. ER24-2172-000 (Nov. 1, 2024).

¹⁵ See Statement of Commissioner Mark C. Christie, Susquehanna Nuclear, LLC, Docket No. ER24-2172-000, at 2 (Nov. 1, 2024).

¹⁶ *Id.*



large load interconnection within vertically integrated utility structures and work collaboratively with state commissions through partnership rather than preemption.

Federal action should respect the successful diversity of regulatory approaches across regions and acknowledge that what works in organized markets may not translate to vertically integrated utilities, and vice versa. PFT stands ready to work with the Commission, DOE, state regulators, and other stakeholders to develop targeted solutions that solve acute problems in specific regions without undermining the effective state regulation that continues to serve consumers well across much of the country.